

suits and fleet of imported cars, the Big Bull had become a role model for almost every player on Dalal Street.

While the bulls were celebrating, there were subtle policy changes underway in the money market, which would have major implications for the stock market too. In August, RBI removed the ceiling on interest rates on bonds and debentures issued by public sector companies. With the new securities offering higher interest rates, the older securities declined in value, causing losses to the banks that held them. When new bonds were offering, say, 11 per cent on maturity, who would want to buy the old bonds in a bank's portfolio that were offering 10 per cent on maturity, unless they were sold at a discount to their face value?

Trading volumes in the money market surged as banks tried to minimize their losses by getting out of the older securities. Brokers were only too glad to help stricken banks, and banks returned the favour through cosy arrangements benefiting the brokers.

Back in the stock market, Harshad continued to drive the prices of his favourite stocks even higher by continuing to peddle the 'replacement cost' theory. The market was curious about Harshad's source of funds, and there was much speculation about it, including rumours that the Big Bull was being financed by politicians and the underworld.

As Sharma would later tell me, Harshad's foes knew exactly where the money was coming from. The only trouble was that they too were guilty of misdemeanours similar to Harshad's, albeit on a much smaller scale. Many – if not all of them – played around with bank funds, but were careful to deploy them in less risky short-term instruments, including badla financing. This allowed them to get extra returns on their deals but kept them in a position to return the funds at short notice.

Harshad was now threatening this second income of theirs by recklessly investing the money in stocks and drawing public attention with his glamorous lifestyle. His foes were now eager to trap him but lay low, knowing their own source of funds would be cut off once the authorities got to know about the loopholes. It must have caused them immense frustration to be outsmarted by Harshad in both the money and stock markets, and be able to do nothing about it.

Harshad's initial bets were companies with sound fundamentals, but I guess he gradually got carried away by his success and the following he had. He started buying shares of mediocre companies, and his purchases